burden of adjustment to exchange rate movements to market participants. Second, reflecting the less interventionist stance, it should indicate more clearly what would be considered ‘excess volatility’ that would trigger intervention. Admittedly, the more precisely ‘excess volatility’ is defined, the less flexibility it will leave for the Reserve Bank. But I think more rules and less discretion will, in the long run, yield sustainable benefits by better managing expectations and minimizing opportunities for self-fulfilling, speculative behaviour. Finally, the Reserve Bank should admit what is now evident to everyone, that building forex reserves is an objective of exchange rate management, and in order to be credible, should indicate the norms that will determine ‘adequate’ level of reserves.

A logical question would be: what prevented me from reshaping the policy as above? The only explanation I can offer is that I was fully persuaded about the imperative of reviewing the policy only after my experience with rupee tantrums in 2013. But a change of policy when the exchange rate was on the boil would have been absolutely the wrong thing to do. The exchange rate cooled only after I left the Reserve Bank, not giving me a window of opportunity for any policy re-engineering.

Let me turn to the second strand of the criticism, that during the entire rupee episode, communication by the Reserve Bank, particularly by me as the governor, lacked credibility and, therefore, what we were saying was shaking rather than bolstering market confidence.

How indeed should the governor have spoken about the rupee? There were some suggestions that the Reserve Bank should have been much more assertive, more ‘alpha male’, as some commentators put it, like the Swiss National Bank (SNB). Recall that the Swiss franc came under massive and sustained appreciation pressure when the European Central Bank unleashed huge liquidity into the markets to fight the sovereign debt crisis. The euros so released were flooding the safe haven of Switzerland and putting upward pressure on the Swiss franc. In the face of this, the SNB declared that it would not allow the franc to appreciate beyond 1.20 francs to a euro.

The ‘alpha male’ imagery was striking but the parallel with the SNB was misplaced. The SNB was seeking to prevent a potential appreciation of the